

TROUBLED JOURNEY

Ola Electric's path has been rocky so far

accusation that a faulty scooter led to the rider's accident. While a few complaints were related to safety concerns, many customers said the scooter didn't come with all the features promised at the launch. They were later told that much-hyped features such as digital key, navigation and cruise control would be available later. These features are currently in the beta phase.

"We're a social-focussed brand. Our spend on marketing is zero. So, it's logical that complaints will also come on social media. But our complaints are not anywhere out of the ordinary. It's just amplified more. We've tried to break a norm, and that's why we're being targeted. Our model is unique in many ways," says Aggarwal.

"They are a new OEM that basically tried to fast-track things a little bit and are finding out that in the automotive industry, you can't curtail development time the way you can in software and other things. It's also largely a regulatory failure. They had all the required approvals, but it still wasn't good enough," says Subhabrata Sengupta, Executive Director of Avalon Consulting.

A big setback came in March 2022, when a video of a parked Ola scooter catching fire for no apparent reason went viral. Soon after, scooters of other EV makers also reported fire incidents. The Central Consumer Protection Authority (CCPA) sent notices to Pure EV and Boom Motors after their e-scooters started exploding in April. Okinawa, another leading electric two-wheeler maker, reported at least four such fire incidents, forcing the company to recall over 3,250 units. "A few cases after four to five years

doesn't define our quality; it's a new technology and a learning curve for everyone," says Jeetender Sharma, Founder and MD of Okinawa. "We'll follow whatever regulation is set by the government. It's good for the industry. Finally, the technology will benefit the customer and the environment. We should embrace it." The company aims to sell 300,000 EVs this fiscal and plans an investment of ₹1,200-1,500 crore over the next two years.

Experts say recent cases of fires could be due to defects in battery cells that might be unsuitable for Indian conditions; problems with design of battery packs and modules; and cost-cutting measures by some companies. Ola Electric, which sources its cells from South Korea's LG Energy Solution, recalled more than 1,400 of its EVs and has appointed an external agency to understand the safety issues better. "Almost all manufacturers have gone through it," says Aggarwal. "It's a fact that it's a mechanical and electronic

device. Our battery pack matches up to all industry standards in India—current and proposed. There will be these rare occurrences. It happens with petrol vehicles also. Data from other countries where EV penetration is much higher—like the US or UK or Europe—show that petrol vehicle fires are 10 times more than EV fires."

Aggarwal has a point. According to American firm Auto-InsuranceEZ, which studied the frequency of fires in automobiles in 2021, vehicles with conventional internal combustion engines reported 1,530 incidents per 100,000, while fully electric vehicles had just 25 per 100,000.

Nonetheless, the safety incidents have got the government to start a process of forming guidelines for EV companies. "It is most unfortunate that some people have lost their lives and several have been injured in these incidents. We have constituted an Expert Committee to enquire into these incidents and make recommendations on remedial steps,"

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In February 2021, Bhavish Aggarwal commenced the ambitious task of building the world's largest two-wheeler factory with 10 million annual capacity spread across 500 acres, 33 per cent of which is fully operational today

2

After having made bookings in July 2021, customers had to wait till December for the deliveries to begin. Then safety concerns, questions on quality and reports of senior-level exits surfaced

3

Ola Electric disrupted the traditional dealership model by establishing a direct-to-customer (D2C) model. This is what led to its initial delay in deliveries

4

At least 15 top-level exits have been announced in the past two years; former employees blame the company's tough work culture for the exits

5

As Ola Electric gears up to make an electric car next, Aggarwal needs to put the past lapses behind and strive towards course correction